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The role of trust in financial institutions in the structure of households' financial assets

Bachelor thesis

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1 Introduction

The formation of household asset structures is a complex process in which economic factors, such as income or inflation, are intertwined with socio-cultural variables. One of the most significant variables is trust, a complex concept that encompasses personal experience, cultural norms, and the perception of the effectiveness of financial institutions.

In modern economic theory, trust is regarded as a key component of social capital, helping to reduce transaction costs. In the context of personal finance, trust in banks, insurance companies and investment funds serves as the foundation for long-term planning. Without confidence in the protection of property rights and the fairness of financial intermediaries, households tend to seek refuge in real assets or to accumulate cash, thereby removing liquidity from the formal economy and slowing economic growth.

In the modern financial environment, the role of trust is becoming even more significant as financial products grow in complexity. The average household is often unable to adequately assess the risks associated with derivative financial instruments or complex investment strategies; consequently, investment decisions are made on the basis of trust in a brand, an institution's reputation, or the quality of government oversight. When confidence levels drop, households adopt defensive strategies, favouring low-yield but psychologically safe assets (such as keeping savings outside the financial system). This leads to the phenomenon of 'financial exclusion', where significant amounts of capital are frozen and do not participate in the real economy. Moreover, a lack of trust limits opportunities for diversification: instead of using stock market instruments, insurance or private pension funds, the population concentrates its assets in a narrow segment of low-risk instruments, which in the long term leads to a decline in the welfare of citizens themselves. Examining the role of trust helps us understand which invisible barriers prevent savings from being transformed into effective investments and how the institutional environment shapes the population's long-term financial habits.

The aim of this bachelor's thesis is to provide a theoretical framework and empirical analysis of the influence of trust in financial institutions on the structure of household asset allocation. To achieve this aim, a comparative analysis of a number of countries will be conducted, within which the influence of the level of institutional trust on households' propensity to form formal savings and participate in stock market transactions will be assessed. Alongside the trust factor, the study analyses a range of other socio-demographic and macroeconomic factors that determine households' decisions regarding the allocation of their capital.

This bachelor's thesis consists of two main parts. The theoretical section will be devoted to a review of the relevant literature and an analysis of the concept of trust as a resource in economics. It will systematise existing approaches to conceptualising trust and identifying the determinants of household financial decisions, and will also describe the methodology of the empirical study.

The practice section involves an applied analysis of how levels of trust influence the composition of household assets. In this section, theoretical assumptions are tested using statistical data from selected countries.

2 Literature review

This chapter systematises existing academic knowledge on the role of trust in households' financial decision-making. The first part of the chapter examines the theoretical basis of trust in economics, including conceptualisations of trust and an analysis of theories explaining its role in economic relations. This is followed by an analysis of the structure of household assets and the factors influencing it. Particular attention is paid to the link between trust and participation in stock markets and risk-taking behaviour. The review concludes with an analysis of the impact of trust on macroeconomic stability, which provides a comprehensive understanding of the issue under investigation for subsequent empirical analysis.

2.1 The concept of trust in the economic field

The conceptualization of trust is the subject of extensive debate in many social sciences, which has led to the development of various conceptual approaches.

The majority of scholars are inclined to associate trust with the concepts of risk and vulnerability. For example, Zand (1972) conceptualises trust as “actions that (a) increase one’s vulnerability, (b) to another whose behaviour is not under one’s control, (c) in a situation in which the penalty (disutility) one suffers if the other abuses that vulnerability is greater than the benefit (utility) one gains if the other does not abuse that vulnerability.” Similarly, Mayer, Davis, and Schoorman (1995) define trust as “willingness of a party to be vulnerable to the actions of another party based on the expectation that the other will perform a particular action important to the trustor, irrespective of the ability to monitor or control that other party”. In its Guidelines on Measuring Trust, the OECD (2017) offers a broader definition of trust, characterising it as “a person’s belief that another person or institution will act consistently with their expectations of positive behaviour”.

In economic science, the concept of trust as a factor influencing the behaviour of economic agents has not always been taken into account. Thus, according to the neoclassical paradigm, the existence of perfectly competitive markets eliminated the need for trust as a factor in economic decision-making (Furlong, 1996).

Nevertheless, Arrow (1972) acknowledged the imperfect nature of markets and established that virtually every commercial transaction conducted over time involves an element of trust. He also argued that the absence of mutual trust may be the underlying cause of most economic backwardness in the world (Arrow, 1972).

Economics often examines trust through the lens of risk and probability. Gambetta (1988) defines trust as “a particular level of a subjective probability with which one agent assesses that another agent or group of agents will perform a particular action, both before he can monitor such action (or independently of his capacity to monitor it) and in a context in which it affects his own action”.

Hence, in the modern economy, trust is an important mechanism determining the behaviour of an agent in conditions of uncertainty and imperfect information.

2.1.1 Classification of trust in the financial sector

For a deeper understanding of the role of trust in the interaction of various economic actors, it is necessary to consider its various forms. In contemporary scientific literature, trust is classified along several dimensions (Lekovic, 2012). The fundamental distinction is between interpersonal and institutional trust (OECD, 2017).

Interpersonal trust, also known as ‘horizontal’ trust, describes a person’s ability to trust other people (Lekovic, 2012). Interpersonal trust, in turn, is divided into limited (particular) and generalised trust. In its Guidelines on Measuring Trust, the OECD (2017) defines limited trust as trust in ‘persons known to the respondent, including family, friends and neighbours’.

In contrast, generalised trust reflects belief in the integrity and honesty of complete strangers with whom a person has no social contact. The OECD (2017) defines this type of trust as ‘trust in people who are not known to the respondent or trust in situations where the person being trusted is not specified’. It is generalised interpersonal trust that plays an important role in macroeconomic mechanisms, as it reflects a person’s ability to trust an unfamiliar party, which is often a party to an economic transaction (Hwang, 2017). A high level of generalised trust is also associated with lower monitoring and enforcement costs (Hwang, 2017).

The second important category of trust is institutional trust. It is also known as ‘vertical’ trust (Lekovic, 2012). Institutional trust shifts the focus from interpersonal interactions to interactions with formal systems. OECD (2017) defines it as ‘trust in all types of institutions, with trust in political, law and order, and non-governmental institutions used to refer to a narrower concept’. Unlike interpersonal trust, institutional trust is ‘depersonalised’ and reflects people’s belief in the proper functioning of existing institutions and their compliance with established norms and rules.

If interpersonal trust is, in a sense, the foundation of society, then institutional trust is the basis for the functioning of complex social structures that create and maintain the ‘rules of the game’ (Lekovic, 2012). It arises as a necessary response to the increasing complexity of social systems, in which simple interpersonal interactions are no longer sufficient to ensure the security and effectiveness of exchanges.

Trust in financial institutions is an important specific form of institutional trust that influences the public participation in the formal sector of the economy. Trust in the financial sector can be defined as consumers’ expectation that financial institutions can be relied upon and are capable of fulfilling their promises. When trust is high, customers are confident that their interests are being upheld by financial institutions (Crujisen, Haan, and Roerink, 2021). It is important because a person who has made a financial decision only sees its consequences after a certain, sometimes prolonged, period of time. When purchasing any financial asset, the buyer exposes themselves to risk and enters into a long-term relationship with the provider (Jaffer, Morris, and Vines, 2014). In conditions of high information asymmetry, when the average consumer does not have sufficient qualifications to independently assess

risks, trust becomes the basis of any transaction. Consequently, financial institutions (in most cases banks) are the institutions of delegated control and, as a result, institutions of social trust (Buriak et al., 2019).

Academic literature also distinguishes between broad-scope trust or systemic trust and narrow-scope trust in relation to financial institutions. Narrow-scope trust refers to trust in the financial standing of the bank (or insurance company or pension fund) of the respondent. Broad-scope trust, in turn, is defined as consumers' expectation that a group of financial institutions (banks, insurance companies or pension funds) as a whole is reliable and can be trusted to deliver on their promises (Crujisen, Haan, and Roerink, 2021). In this paper, focus will be placed on broad-based trust (systemic trust) in financial institutions, particularly banks.

2.1.2 Theories explaining the role of trust in economic relations

It has already been mentioned that neoclassical economic theory, based on the assumptions of perfect competition and absolute market informational transparency, disregarded the concept of trust as a factor influencing the behaviour of economic agents. In a perfectly competitive market model, finding a partner and concluding transactions happens instantly and free of charge, and perfect information accessibility eliminates any possibility of deception. However, recognition of the imperfection of existing economic systems has led to the formation of new theoretical approaches in which trust is viewed not only as a sociological phenomenon affecting interpersonal relationships, but also as a factor influencing exchange efficiency.

One of the fundamental concepts explaining the need for trust in economics is Oliver Williamson's theory of transaction costs. Unlike representatives of neoclassical economics, proponents of this theory argue that the coordination of economic activity requires considerable costs. These costs are divided into ex-ante expenses, such as the cost of obtaining information about potential partners, conducting negotiations, and drafting contracts; and ex-post expenses, such as the cost of monitoring the fulfilment of obligations, enforcing compliance with terms and conditions, or judicial proceedings. The situation is further complicated by the tendency of economic agents to engage in opportunistic behaviour, which Williamson (1996) defined as 'self-interest seeking with guile'.

Within this theory, there is a strict negative correlation between the level of trust and transaction costs: a high level of trust makes it possible to dispense with complex legal supervision and inspections, thus reducing both ex-ante and ex-post costs. The presence of trust can lead to the formation of a so-called 'economic surplus,' as resources that could previously have been spent on protecting against a partner's opportunistic behaviour can be redirected to other investments (Kwon and Kim, 2024).

Closely related to transaction cost theory is the theory of bounded rationality, conceptualised by Herbert Simon. This theory asserts that although economic agents strive to act rationally, their cognitive and computational abilities to search

for, process and store information are limited. Given the complexity and dynamic nature of modern economic systems, agents are unable to foresee all the factors that may affect the conditions for fulfilling obligations and take them into consideration in the contract. Consequently, all real contracts are incomplete (Furlong, 1996). If people possessed unlimited rationality and could perfectly calculate all probabilities, trust in an economic context would lose its meaning and be replaced by risk calculation. However, limited rationality makes trust a necessary mechanism for simplifying decision-making (Cugueró-Escofet and Rosanas Martí, 2019). In conditions of bounded rationality, it is the presence of trust that allows agents to cooperate without writing unrealistic ‘perfect’ contracts (Furlong, 1996).

The third fundamental theory explaining the role of trust in economics is the information asymmetry problem. Information asymmetry arises when one side of a transaction has more information than the other. This imbalance, which is particularly common in high-tech and financial markets, gives rise to two market failures: adverse selection in the pre-contract stage of the transaction and moral hazard in the post-contract stage. The less informed party is always at risk of being exploited by the more informed party (Lekovic, 2012).

In conditions of information asymmetry, trust, particularly institutional trust, acts as a compensatory mechanism. Without trust, less informed agents would be forced to bear higher costs for obtaining information and drafting contracts that are as thorough as possible, or they would leave the market altogether, which would have a negative impact on economic efficiency. Trust in institutions and the reputation of counterparties reduces the costs associated with the less informed party’s attempts to protect itself from exploitation by the more informed party, thus keeping the market active. The need to maintain reputation, in turn, increases the probability that the information advantage will not be exploited by the more informed party to its advantage (Lekovic, 2012).

In addition to transactional logic based on pragmatic calculation, the role of trust in the economy can also be explained by social exchange theory. This theory describes the formation of so-called ‘relational trust’. It arises from long-term, repeated social interactions and shared values between parties. While calculative trust, i.e. trust based on a rational assessment of the benefits of trusting someone in a specific situation, reduces costs in the early stages, relational trust influences decision-making in the later stages of cooperation. It ensures the exchange of knowledge and loyalty between partners based on previous experience of cooperation (Bai et al., 2024).

These theoretical approaches collectively demonstrate that trust is one of the key factors influencing economic agents’ decision-making and that it plays an important role in the modern economy.

2.2 Structure of households' financial assets

This subsection examines the composition and structure of households' financial assets. The main focus is on the classification of types of assets and the analysis of the factors that determine the choice of specific forms of savings and investment depending on economic conditions.

2.2.1 Classification of financial assets

Modern economic science traditionally approaches the study of welfare by analysing two key components: human capital and material wealth.

Human capital is the sum of an individual's attributes, such as personality, level of education, health and skills, which embody a person's ability to earn and generate income. It can be defined as 'the present discounted value of the flows of disposable labour income that an individual expects to earn over the remaining lifetime' (Guiso and Sodini, 2013).

Material wealth, in turn, is divided into real (non-financial) and financial assets. Real assets include residential and commercial real estate, tangible property (e.g., cars and vehicles), collectibles, and private business assets. They are less liquid than financial assets, involve higher trading and legal costs, and are often subject to significant taxes. Unlike real assets, which are under the direct physical control of the owner and often provide direct non-monetary consumer benefits, financial assets represent a claim on income generated by capital owned or managed by someone other than the security holder. Financial assets are typically traded in markets that are more developed and liquid. They can vary greatly in complexity, with some having extremely complex structures which can be difficult for many households to understand (Guiso and Sodini, 2013).

When moving on to a more detailed classification of household financial assets, it should be emphasised that there is no single, universally recognised standard in contemporary academic literature. The typologies used by researchers depend on the specific goals and objectives of a particular analysis. This paper will consider the classification of financial assets in terms of liquidity and risk.

In its empirical study, the European Central Bank divides household financial assets into two main categories according to their degree of risk. The first category is safe financial assets. These include deposits, life insurance contracts and voluntary private pension plans. The second category, risk financial assets, includes mutual funds, government and corporate bonds, and company shares (Arrondel et al., 2014). Studies show that safe assets are present in the portfolios of the vast majority of households, regardless of their level of wealth, while participation in risky asset markets is limited and increases only as total capital increases (Arrondel et al., 2014; Guiso and Sodini, 2013).

From the perspective of personal financial planning and private capital management, asset classification becomes more detailed and adds the concept of liquidity to the concept of risk. In financial planning, the portfolio is divided into liquidity

zones. Highly liquid assets, medium-liquidity assets and illiquid assets are distinguished. Highly liquid assets include cash and high-quality bonds that are available on a daily or monthly basis. Medium-liquidity assets include credit instruments and investment funds with partial restrictions on the withdrawal of funds. Non-liquid assets are private investments and funds with long-term capital restrictions (Barber, 2023).

2.2.2 Description of factors that may influence the structure of households' financial assets

The financial behaviour of the general public does not develop in a vacuum. It is the result of the interaction of a multitude of determinants. Understanding these factors is crucial to explaining the phenomenon of limited household participation in risk asset markets.

The first group of factors consists of economic variables, primarily the level of accumulated wealth and current income. The results of empirical studies, such as the Survey of Consumer Finance (SCF) in the US and the Household Finance and Consumption Survey (HFCS) in the Eurozone, indicate that the structure of financial allocation varies depending on household income levels. According to the findings of these studies, households with lower income levels prefer to hold funds in highly liquid, safe assets, such as cash, transaction and savings accounts. As income level and overall household wealth increase, households begin to acquire real estate and other real assets. And as they reach a certain, higher income level, they begin to invest in private business and in higher-risk assets, such as shares, mutual funds and bonds. One reason for this may be that a high level of income allows households to overcome the fixed financial costs of participating in the stock market, making investment in high-risk assets more viable (Arrondel et al., 2014; Guiso and Sodini, 2013).

The second group is represented by socio-demographic factors, including age, household size and gender. Specifically, investors' age shows a "hump-shaped" relationship with the proportion of risky assets and the likelihood of participating in stock markets (Calvet and Sodini, 2009; Xu and Yi, 2024). The explanation for this is that wealth accumulates over the course of a lifetime. Younger households have lower levels of income and wealth; they accumulate capital and gradually enter the stock market. Whereas households consisting of people of productive age focus on building and expanding their own asset base, the proportion of investments reaches its peak at this age. Later in life, consumption is preferred over investment, and the proportion of risky assets declines in favour of more conservative instruments with lower risk (Guiso and Sodini, 2013).

The size of the household and the presence of dependents also have a significant influence on the choice of investment instruments. Single households, which do not have responsibility for the financial support of other family members, are more inclined to hold higher-risk assets. It is explained by the fact that the need to

care for a partner and/or children increases risk aversion. In contrast, couples with children are more likely to invest in real assets, particularly residential property. These preferences stem from the need for stability and a sense of security, which in turn negatively affects the amount of liquid assets available (Arrondel et al., 2014).

Numerous studies have also documented the influence of gender on portfolio composition. Women generally demonstrate a higher level of risk aversion than men and, as a result, tend to opt for more conservative investment strategies (Guiso and Sodini, 2013).

Macro-institutional factors and the economic environment also have a significant influence on asset selection. The structure of household wealth varies considerably across countries, depending on local legislation, the level of market development and the social security system. Research based on data from the European Central Bank shows that parameters such as the depth of the mortgage market, the ratio of living expenses to rental costs, and wealth taxes radically alter the proportions of ownership of real and financial assets. Furthermore, the availability of market infrastructure and the extent of internet penetration reduce transaction and information costs, making financial assets more accessible to broad sections of the population and reducing the dependence of market participation on personal wealth (Arrondel et al., 2014). In developing countries, such as Ghana, access to financial institutions acts as a powerful catalyst, enabling households to transform theoretical knowledge into actual investment portfolios (Enohuomen, 2025).

Another key factor influencing asset allocation is the financial literacy of the population. As mentioned earlier, financial assets can be difficult to understand for average households, and therefore choosing between various high-risk investment instruments requires significant cognitive effort. In this case, financial literacy acts as an entry barrier. Individuals with low financial literacy not only hold risky financial assets less frequently, but also have poorly diversified portfolios, thereby exposing themselves to unjustified idiosyncratic risk (Guiso and Sodini, 2013). At the same time, financial literacy is not an endogenous variable and can be improved by external factors. For example, an analysis of the Italian market shows that banks' information policies can raise the level of financial awareness among customers. This increase in awareness, in turn, leads to a rise in the proportion of financial assets held by households and an increased likelihood of their participation in the stock market (Fort, Manaresi, and Trucchi, 2014).

The final group includes behavioural factors such as risk tolerance and the level of trust.

A high level of individual aversion to financial risk statistically significantly reduces households' propensity to diversification, causing them to concentrate their wealth in safe financial or real assets (Barasinska, Schäfer, and Stephan, 2009).

As mentioned earlier, trust in financial institutions also acts as an important factor influencing households' decisions on the allocation of funds. Investing in securities requires delegating capital management to third parties. If a household has a lower level of generalised trust, it is more likely to ignore the opportunity to

participate in stock markets in favour of safer assets (Guiso and Sodini, 2013).

2.3 The relationship between trust and household decisions regarding their finances

This section synthesizes existing research on the relationship between trust in the financial sector and the economic choices of households, highlighting the psychological and rational drivers of asset allocation.

2.3.1 The impact of trust on participation in stock markets

As mentioned previously, trust is one of the most important informal institutions influencing the structure of household portfolios. Classical financial theory previously assumed that households' decisions regarding the allocation of their assets were made entirely rationally and were based on available data concerning expected returns and risk. However, empirical studies show that making such decisions requires economic agents to make a certain 'act of faith' that the information they possess is reliable and that the financial system operates fairly (Guiso, Sapienza, and Zingales, 2008). In this context, Guiso, Sapienza, and Zingales (2008) define trust as a subjective assessment of the probability of being deceived. This assessment is formed on the basis of both objective factors, such as the quality of the institutional environment and the protection of rights, and subjective beliefs based on past experience, level of education, cultural characteristics and upbringing (Guiso, Sapienza, and Zingales, 2008). If an agent perceives the probability of opportunistic behaviour to be high, the expected return on investment in their view decreases. This makes participation in financial markets unattractive, despite the presence of a high risk premium.

The trust effect provides a comprehensive explanation for the 'participation puzzle'. It is a phenomenon whereby a significant proportion of households, including those with higher levels of wealth, ignore the market of risky financial assets. According to most portfolio models, households should invest a portion of their assets in risky financial instruments in order to take advantage of a risk premium. However, in reality, most households ignore the need for portfolio diversification and prefer to limit themselves to investments in safer, often real, assets. A model that takes the trust factor into account shows that the fear of falling victim to fraud is a powerful barrier to entry. Even a negligible probability of fraud can multiply the income threshold required to cover transaction costs and participate in stock markets (Guiso, Sapienza, and Zingales, 2008). Thus, a lack of trust greatly amplifies the negative effect of transaction costs and acts as a barrier to entry to the stock market.

2.3.2 Trust, risk aversion and optimistic expectations

When analysing the impact of trust on portfolio composition, it is important to distinguish this concept from those of risk aversion and individual optimism.

Risk aversion determines an investor's attitude towards the objective uncertainty associated with a share's return. Trust, on the other hand, reflects fear of non-market sources of loss, such as opportunistic behaviour on the part of a transaction counterparty. Thus, a household may possess a high tolerance for risk but choose not to participate in stock markets due to uncertainty regarding the integrity of other market participants (El-Attar and Poschke, 2010). Guiso, Sapienza, and Zingales (2008) empirically demonstrate the distinction between these concepts in their study, examining their impact on the number of shares in a portfolio.

Similarly, optimism, which is the presence of positive expectations regarding the future, does not negate the effect of trust. According to empirical studies, given identical positive expectations, investors with different levels of trust invest different volumes of funds in risky assets (Guiso, Sapienza, and Zingales, 2008).

2.3.3 The impact of trust on the structure of financial assets

The asset structure of households with low levels of trust differs radically from that of portfolios held by trusting investors. Depending on their level of trust, households tend to favour either informal or formal forms of savings and investment. According to Guiso, Sapienza, and Zingales (2008), at one end of the spectrum of investment instruments, where trust is very low or completely absent, lies cash. It is an asset that allows the investor to completely avoid the need to entrust third parties and to keep savings in the most liquid form possible. Thus, holding funds in cash, i.e. informal savings, serves as a kind of refuge for households with low levels of trust in the financial sector (Guiso, Sapienza, and Zingales, 2008).

At the opposite end of the spectrum are shares and other high-risk instruments, which leave investors highly vulnerable to potential opportunistic behaviour. As noted earlier, these involve delegating a certain degree of control over one's assets to third parties in exchange for higher returns, through a risk premium (Guiso, Sapienza, and Zingales, 2008; Guiso and Sodini, 2013).

Bank deposits occupy a position between cash and shares in this system. They require greater trust than cash, but less than shares, as they are usually insured by the state and can be easily withdrawn by the depositor (Guiso, Sapienza, and Zingales, 2008).

Empirical studies show that in regions with higher levels of trust, households prefer formal forms of saving to informal ones and hold significantly less of their savings in cash. Furthermore, an increase in the level of generalised trust leads to a higher proportion of assets invested not only in safe but also in risky assets (Guiso, Sapienza, and Zingales, 2008).

All these facts confirm that trust is a fundamental factor that is essential for the normal functioning and development of financial markets.

2.4 The impact of trust in financial sector on macroeconomic stability and financial inclusion

In addition to influencing portfolio allocation, trust functions as a critical component of a country's financial infrastructure. This section analyses the mechanisms through which trust mitigates systemic risks and prevents voluntary exclusion of households from the formal economy.

2.4.1 Trust as determinant of financial stability and systemic resilience

Systemic financial crises, accompanied by the exposure of major corporate scandals, take a heavy toll on public confidence in financial institutions. The global financial crisis of 2007–2008 led to an unprecedented collapse in confidence, as it exposed widespread opportunistic behaviour among financial intermediaries. The exposure of such massive fraudulent schemes as Bernard Madoff's Ponzi scheme, or the bankruptcies of corporations such as Lehman Brothers, radically altered people's perception of the financial system's safety (Guiso, 2010).

Empirical studies show that the impact of such scandals is not limited to the immediate victims of fraud. It creates a so-called 'contagion effect': a phenomenon whereby, once information about the dishonesty of a single institution becomes public, investors' suspicions instantly spread to the entire financial industry, including honest brokers, mutual funds and commercial banks with which investors had previously had positive experiences. As a result, the disclosure of corporate fraud leads to a reduction of the propensity of individuals to participate in the stock market and a massive outflow of capital from the institutional environment (Guiso, 2010).

The macroeconomic consequences of such a trust crisis are systemic in nature.

Firstly, loss of trust in banks is the main trigger for panic behaviour among depositors. Research shows that households that are the first to lose confidence in their financial intermediaries are the most likely to participate in so-called 'bank runs'. This term describes a situation in which depositors initiate a mass withdrawal of deposits during periods of financial stress. This, in turn, instantly transforms a local liquidity problem into a full-scale systemic crisis (Guiso, 2010). The withdrawal of large volumes of liquidity from the banking sector and stock markets deprives the real economy of vital sources of debt and equity financing (Elsherif, 2019). A lack of confidence causes the equity premium to rise significantly and makes raising capital for corporations unreasonably expensive, which hits innovative and fast-growing companies particularly hard, thereby slowing macroeconomic growth (Guiso, 2010).

Secondly, the crisis of confidence in the financial sector paralyses demand for financial advice and discretionary portfolio management: investors prefer to make their own decisions or withdraw from the market altogether, leading to a reduction in diversification and an increase in the economy's systemic vulnerability to future shocks (Guiso, 2010).

However, the economic significance of trust is not limited to its destructive potential during crises; it also serves as a critically important stabilising force. Higher levels of trust can act as a macroeconomic moderator during economic shocks. As Makrychoriti, Pasiouras, and Tasiou (2022) state in their work, the mechanism through which trust mitigates macroeconomic shocks is based on its ability to reduce transaction costs and improve information flows in the market. During a severe financial downturn, when the value of traditional physical collateral depreciates and banks' credit limits tighten, high levels of trust begin to function as 'social collateral'. In other words, in societies with high levels of interpersonal trust, firms and households retain access to informal financing (for example, through commercial or trade credit) even when the formal banking channel for lending is unavailable, which helps to mitigate the effects of crises (Makrychoriti, Pasiouras, and Tasiou, 2022).

2.4.2 Voluntary financial exclusion: the shift to cash and the expansion of the shadow economy driven by a lack of trust

Discussing the distribution of household wealth, it is also important to mention such a key concept as financial inclusion.

In modern economic literature, financial inclusion is defined as the ability of all economic participants to access necessary and beneficial services that meet their needs and are provided in a responsible and sustainable manner. A high level of financial inclusion enables the economy to function in an environment that allows participants to benefit from the use of financial services and, as a result, contributes to capital accumulation and the maintenance of macroeconomic stability. Access to necessary financial services has been recognised as a key factor in economic development and is the focus of numerous official and social initiatives aimed at achieving development goals. However, despite the recognition of the importance of financial inclusion, financial exclusion, meaning the lack of access to essential financial services among economic agents, remains one of the most pressing issues impacting the global economy (Elsherif, 2019).

When analysing this phenomenon, it is crucial to distinguish between involuntary and voluntary financial exclusion. Whilst involuntary exclusion is caused by objective barriers, such as low income, a lack of the appropriate documentation, or the geographical remoteness of financial institutions, voluntary exclusion is fundamentally different in nature. It arises in situations where economic agents consciously choose not to use formal financial services (Elsherif, 2019). One of the main reasons for this behaviour is a deep distrust in financial service providers.

Low levels of trust in the banking sector and the financial system as a whole create a significant barrier that limits consumers' access to savings and credit facilities. As previously stated, this is linked to economic agents' reluctance to delegate control over their assets to third parties and their desire to keep their assets in the most liquid form possible (Guiso, Sapienza, and Zingales, 2008). Empirical studies also confirm that households with low levels of trust in the banking sector are far

less likely to open deposit accounts and tend to switch banks at the slightest sign of instability (Cruijssen, Haan, and Roerink, 2021).

The macroeconomic consequences of such exclusion from the formal financial system are highly damaging, leading to capital flight into the shadow economy. The shadow economy is a multifaceted concept that is difficult to explain and measure. Participants in the shadow economy seek to remain unidentified in order to avoid taxation and regulatory oversight (Elsherif, 2019). The high cost of participation in the formal financial sector, compounded by a lack of trust, encourages economic agents to turn to informal channels of financing and savings (Elsherif, 2019; Beckmann and Mare, 2017). Participation in the informal sector leads to agents encountering a severe shortage of capital and credit resources, making it impossible to invest or consume at their full potential. This, in turn, forces agents participating in the shadow economy to be locked into anti-cyclical behaviour, which slows economic growth even during periods of economic expansion (Elsherif, 2019).

Furthermore, low levels of institutional trust directly harm the financial services industry itself. Chawla et al. (2023), in their study, state that when the consumer experience is perceived as negative or lacking transparency, it is not merely viewed as a failed transaction, but also fosters deep-seated beliefs regarding the dishonesty of the banking sector as a whole. In an environment of mistrust, the industry loses its loyal customer base, the volume of capital available for productive needs is drastically reduced, and consumers are forced to resort to the services of alternative, often high-risk financial service providers, such as microcredit companies, which only enhances their financial vulnerability (Chawla et al., 2023). And conversely, the restoration of trust can radically alter the structure of household assets. Studies based on data for ten emerging market economies in Central, Eastern and Southeastern Europe, demonstrate that if citizens begin to trust the stability of the financial system or the effectiveness of the deposit insurance scheme, the likelihood of their participation in the formal financial sector and use of bank deposits increases significantly, whilst the proportion of cash savings falls sharply (Beckmann and Mare, 2017).

Overcoming the crisis of institutional trust is therefore a fundamental prerequisite for putting an end to the voluntary financial exclusion, reducing the size of the shadow economy and ensuring the country's sustainable economic growth.

3 Data and methods

The theoretical concepts and approaches outlined in the previous chapter demonstrate the fundamental role of trust not only in households' decision-making regarding their asset allocation, but also in ensuring macroeconomic stability. However, to achieve the aim of this bachelor's thesis, it is necessary not only to systematise existing academic knowledge describing the role of trust, but also to empirically test the hypotheses formulated on the basis of the studied literature. In this regard, the following chapter will be devoted to formulating the hypotheses to be tested, describing the empirical basis of the study, justifying the choice of countries analysed, and describing the econometric method that will allow the quantitative assessment of the impact of trust on the structure of household assets.

3.1 Hypotheses

The first step towards achieving the aim of this study is the formulation of hypotheses, which will subsequently be tested.

The main objective of this paper is to analyse the impact of trust in financial institutions on the structure of household assets. To achieve this objective, two areas will be analysed: the impact of trust in financial institutions on the likelihood of households participating in formal savings, and the impact of trust in financial institutions on the likelihood of households participating in stock markets.

According to the theoretical principles outlined above, it can be assumed that the level of trust in financial institutions influences the formation of formal household savings (Guiso, Sapienza, and Zingales, 2008). On this basis, the first set of hypotheses is formulated:

H₀: The level of trust in financial institutions does not have a statistically significant positive effect on the likelihood of households forming formal savings.

H₁: The level of trust in financial institutions has a statistically significant positive effect on the likelihood of households forming formal savings.

As previously established, the act of investing requires a certain level of trust, as it involves delegating control over one's own capital (Guiso, Sapienza, and Zingales, 2008; Guiso and Sodini, 2013). On this basis, the following pair of hypotheses is formulated:

H₀: The level of trust in financial institutions has no statistically significant positive effect on the likelihood of households participating in the stock market.

H₁: The level of trust in financial institutions has a statistically significant positive effect on the likelihood of households participating in the stock market.

3.2 Data

The next step towards achieving the objective was the selection of countries on the basis of which the research would be conducted.

The main criterion for selecting the countries included in the analysis was the availability of data on levels of trust in financial institutions, particularly banks. Data for this indicator were drawn from the results of the 7th wave of the World Values Survey (Haerpfer et al., 2022). This survey covers data from the years 2017 to 2022 for 66 countries and territories (Haerpfer et al., 2022). For the purposes of this study, only countries surveyed in the year 2018 were selected. This decision was made in order to minimise the impact of the economic shocks that occurred in 2019 and 2022, which were accompanied by sharp changes in economic indicators. Based on these criteria, 40 countries were included in the study.

Another factor in selecting the countries for the study was the availability of data on savings as a percentage of Gross Domestic Product (GDP). Once this criterion was applied, the selection of countries was reduced by a further three, bringing the total to 23 countries.

Saving as a percentage of GDP, calculated by the World Bank Group (2025e), is used as the explained variable. Data for this indicator is taken from the database of TheGlobalEconomy.com (2025). This and other indicators have been compiled and systematised by a team of scientists using sources including the World Bank, the International Monetary Fund, The Heritage Foundation and The United Nations.

The level of trust in financial institutions, taken from the results of the World Values Survey, was selected as the main explanatory indicator. As part of the study, respondents were presented with the following question: "I am going to name a number of organisations. For each one, could you tell me how much confidence you have in them: is it a great deal of confidence, quite a lot of confidence, not very much confidence or none at all? Banks (Haerpfer et al., 2022)."

The data obtained were then converted into a numerical scale, where 1 represented a great deal of confidence, 2 – quite a lot of confidence, 3 – not very much confidence, and 4 – none at all. The response 'Don't know' was coded as -1, and no response as -2 (Haerpfer et al., 2022).

For the purposes of the study, respondents were divided into six age groups, with the first group including respondents aged 16 to 24 (inclusive), the second group aged 25 to 34, the third aged 35 to 44, the fourth aged 45 to 54, the fifth aged 55 to 65, and the sixth aged 65 and over. Including this division into age groups will allow us to examine the influence of the level of trust in financial institutions on the asset allocation of people at a particular stage of the life cycle.

To create an explanatory variable based on the data obtained, the average levels of trust were calculated within each age group for each country.

Following the work of Facchini, Massin, and Brookes (2024), the 'Policy 2' indicator from the Polity5 Project database by Marshall and Gurr (2020), from the Centre for Systemic Peace, was used as an indicator of the quality of political institutions. As stated in the user manual for this project's database, the Polity indicator is a composite indicator of the political system, calculated by subtracting a country's autocracy score from its democracy score, representing a scale of political systems from -10 ('strongly autocratic') to +10 ('strongly democratic') (Marshall

and Gurr, 2020). The Polity 2 index, according to the same manual, is a modified version of the Polity index, altered to facilitate the use of this indicator in time-series analysis (Marshall and Gurr, 2020).

Based on the work of Facchini, Massin, and Brookes (2024), the ‘Legal System and Property Rights’ indicator from the “Economic Freedom of the World: 2025 Annual Report” (Gwartney, Lawson, and Murphy, 2025) by the Fraser Institute was chosen as an indicator of the quality of legal institutions and the legal system. According to the definition given in the report, this indicator determines the extent to which the state effectively protects the economic freedom. The index is composed on the basis of eight factors: judicial independence, impartial courts, property rights, military interference, integrity of the legal system, contracts, real property, and police and crime. The results are further adjusted in accordance with the Gender Disparity Index produced by Rosemarie Fike.

The ‘Sound money’ indicator from the ‘Economic Freedom of the World: 2025 Annual Report’ (Gwartney, Lawson, and Murphy, 2025) by the Fraser Institute was used as an indicator of the quality of financial institutions. According to the definition given in the annual report, this indicator measures the extent to which a jurisdiction’s monetary policy ensures economic freedom. The index is calculated based on money growth, inflation in the most recent year, standard deviation of inflation, and the ability to hold foreign currency accounts in banks (Gwartney, Lawson, and Murphy, 2025).

The second explained variable is the household investment rate.

In the absence of standardised data on direct household participation in the stock market for all countries in the sample, this indicator is used as a proxy for investment activity. Although the formulation of the hypotheses focuses on household participation in stock markets, the empirical section of the study uses the household investment ratio. The choice of this indicator is due to the fact that it serves as an indicator of households’ general propensity to ‘delegate control over capital’ (Guiso, Sapienza, and Zingales, 2008), which is a fundamental psychological prerequisite for both investment in fixed assets and investment in financial instruments. Thus, the household investment ratio is regarded as the most representative available indicator of the population’s financial activity in the absence of comparable data on the stock market.

The methodology for calculating this indicator is based on the methodology used by Eurostat (2026) to calculate the household investment rate. According to definition, the household investment rate is defined as gross fixed capital formation divided by gross disposable income, adjusted for changes in pension entitlements, of the household sector in national accounts (Eurostat, 2026).

For the purposes of this study, this indicator will be calculated as gross fixed capital formation divided by gross disposable income.

Gross fixed capital formation includes acquisitions less disposals of fixed assets during the accounting period, including certain specified expenditures on services that add to the value of non-produced assets. This indicator is expressed in current

prices, meaning no adjustment has been made to account for price changes over time. This indicator is expressed in United States dollars (World Bank Group, 2026). The data for this indicator was taken from the World Development Indicators database.

The data for gross disposable income were taken from the ‘Household disposable income’ indicator calculated by the OECD (2026a). This indicator is gross, as depreciation of assets is not taken into account in the calculations. For a more comprehensive assessment of well-being, ‘adjusted disposable income’ is used, which includes the value of social transfers in the form of state services provided free of charge or at reduced rates. For the purposes of cross-country analysis, indicators are normalised per capita, deflated to account for inflation and adjusted for purchasing power parity (PPP), which ensures the comparability of real living standards across different economic systems (OECD, 2026a). Subsequently, to obtain the aggregate national value, the per capita figures were multiplied by the total population of each country for the corresponding year. Population data were also sourced from the OECD (2026b) database to ensure methodological consistency.

Given the availability of data, the sample of countries for the study was narrowed down to the nine countries.

In addition, a number of further factors will be included to enhance the model’s explanatory power and provide a deeper understanding of the research question.

The following indicators will be used to measure the development of the financial sector: domestic credit to the private sector as a percentage of GDP, bank credit to the private sector as a percentage of GDP, stock market capitalisation as a percentage of GDP, the Financial Institutions Development Index, and the Investment Freedom Index.

Domestic credit to private sector, calculated by the World Bank Group (2025a), refers to financial resources provided to the private sector, such as through loans, purchases of nonequity securities, and trade credits and other accounts receivable, that establish a claim for repayment (TheGlobalEconomy.com, 2025). The index of bank credit to the private sector as a percentage of GDP, calculated by the World Bank Group (2025b), is a more narrow indicator that measures the volume of funds provided to the private sector by other deposit-taking corporations, except central banks (TheGlobalEconomy.com, 2025). These indicators, calculated by the World Bank, were used to measure the depth of the banking sector and the availability of credit.

The stock market capitalisation indicator, calculated by the World Bank Group (2025g) and also known as market value, is the share price times the number of shares outstanding, including their several classes, for listed domestic companies (TheGlobalEconomy.com, 2025). In this study, this indicator was used as a proxy for the size and maturity of the stock market and as a measure of the availability of alternatives to bank deposits for private investors.

The Financial Institutions Development Index, developed by International Monetary Fund (2025), assesses the size of financial institutions relative to the economy (TheGlobalEconomy.com, 2025). The incorporation of this factor enables the

monitoring of financial inclusion levels and the accessibility of complex financial infrastructure.

The Investment Freedom Index, published by The Heritage Foundation (2025), is used in this study to assess regulatory and administrative barriers within the financial system. This index evaluates the degree of openness of the investment environment, taking into account restrictions on capital movements, access to various types of assets, and the complexity of conducting transactions (TheGlobalEconomy.com, 2025). In the context of researching the impact of trust on financial participation, this index allows us to distinguish institutional barriers from the subjective preferences of economic agents.

The next set of factors included in the model is the set of macroeconomic factors. These are used to describe the general economic background and to distinguish the effect of trust from the objective economic conditions that influence the population's ability to accumulate capital. This block is represented by real GDP growth rates, the logarithm of GDP per capita at purchasing power parity, the rate of inflation, and terms of trade.

Using the real GDP growth index calculated by the World Bank Group (2025c) allows monitoring the impact of business cycles on investment behaviour, making it possible to distinguish the effects of cyclical excess liquidity from the influence of subjective institutional factors (such as trust) on public participation in stock markets and the accumulation of formal savings.

To account for cross-country differences in socio-economic development, the model includes GDP per capita adjusted for purchasing power parity (World Bank Group, 2025d). The inclusion of this indicator is crucial to ensuring the validity of the estimates, as it helps to level out the differences between countries with fundamentally different levels of financial development. The variable is introduced into the regression equation in logarithmic form. This transformation serves two purposes: firstly, to minimise the heteroscedasticity of the data, which is typical for samples with a wide range of country income levels; secondly, to enable the regression coefficient to be interpreted as elasticity, which simplifies the substantive analysis.

An inflation variable has been added to the model to account for the macroeconomic environment (World Bank Group, 2025f). High rates of price inflation serve as an indicator of systemic economic risks that obstruct long-term financial planning. Monitoring this variable is necessary to distinguish between households' forced adaptation to an unstable environment and the effect caused by the level of institutional trust.

The terms of trade index, calculated by the United Nations (2025), was included in the model as a control variable reflecting the influence of the external economic environment. It serves as an indicator of the national economy's purchasing power on the world market. Taking this variable into account is necessary to neutralise the effects caused by exogenous shocks of the global economy, which allows the fundamental influence of institutional trust to be isolated from random fluctuations

dictated by the dynamics of world prices.

Data for variables such as domestic credit to the private sector as a percentage of GDP, bank credit to the private sector as a percentage of GDP, stock market capitalisation as a percentage of GDP, Financial Institutions Development and Investment Freedom Index, real GDP growth, GDP per capita at purchasing power parity, inflation and terms of trade were extracted from the database at TheGlobalEconomy.com (2025), which consolidates statistical information from verified international sources, including the World Bank, the International Monetary Fund, the OECD, the United Nations and other relevant organisations and institutions. The use of this aggregator ensured a consistent methodology for data collection across the entire sample of countries, whilst maintaining reliance on official primary reports from international institutions.

The data used in this study are summarized in Table 1.

Table 1: Data description

Variable	Unit	Source
Savings	% of GDP	The World Bank (via TheGlobalEconomy.com)
Household Investment Rate	%	Author's calculations based on data from The World Bank and the OECD database
Quality of political institutions	[-10; 10]	Polity5, Center for Systemic Peace
Quality of legal institutions	Scale [0; 10]	Fraser Institute
Quality of financial institutions	Scale [0; 10]	Fraser Institute
Trust in financial institutions	Scale [1; 4]	Author's calculations based on data from The World Value Survey
GDP per capita (PPP)	Logarithmic scale	The World Bank (via TheGlobalEconomy.com)
Real GDP growth rate	%	The World Bank (via TheGlobalEconomy.com)
Inflation	%	The World Bank (via TheGlobalEconomy.com)
Bank credit to the private sector	% of GDP	The World Bank (via TheGlobalEconomy.com)
Domestic credit to the private sector	% of GDP	The World Bank (via TheGlobalEconomy.com)
Financial institutions development	Index points	International Monetary Fund (via TheGlobalEconomy.com)
<i>Continued on the next page</i>		

Variable	Unit	Source
Investment freedom index	[0;100]	The Heritage Foundation (via TheGlobalEconomy.com)
Stock market capitalization	% of GDP	The World Bank (via TheGlobalEconomy.com)
Terms of trade	%	The United Nations (via TheGlobalEconomy.com)
Savings Analysis Sample (23)		Australia, Bangladesh, Brazil, Chile, People's Republic of China, Colombia, Ecuador, Egypt, Germany, Hong Kong SAR, China, Indonesia, Iraq, Jordan, Kazakhstan, Lebanon, Malaysia, Mexico, Pakistan, Peru, Romania, Republic of Korea, Thailand, Turkey
Investment Analysis Sample (9)		Australia, Brazil, Chile, People's Republic of China, Colombia, Germany, Republic of Korea, Mexico, Turkey

Source: Author's compilation.

3.3 Methods

Due to the lack of sufficient data for panel data and time series analysis, the testing of the presented hypotheses was conducted using cross-sectional data.

Cross-sectional data consists of a set of observations on individual units, such as people, households, firms, cities, states, countries or a variety of other units, collected at a single point in time (Wooldridge, 2016). Cross-sectional data analysis is widely applied in economics and social sciences and is critical for testing microeconomic hypotheses and empirically evaluating the effectiveness of economic policies (Wooldridge, 2016).

All econometric estimations are performed using the Ordinary Least Squares (OLS) method, which minimizes the sum of squared residuals (Wooldridge, 2016), within the Gretl software environment. Following the methodological framework established by Facchini, Massin, and Brookes (2024), two econometric models will be constructed.

3.3.1 Baseline models

The first step of the analysis involves the construction of baseline models. The dependent variable for the first model is defined as savings as a percentage of GDP, while for the second model, it is the household investment rate. The key explanatory variables are the indicators of trust. The baseline model is specified as follows

(Wooldridge, 2016):

$$S_i = \beta_0 + \sum_{j=1}^6 \beta_j Tr_{ij} + \varepsilon_i \quad (1)$$

Where:

S_i is the dependent variable representing the level of savings as a percentage of GDP for country i ;

β_0 is the constant term, representing the baseline level of savings when independent variables are equal to zero;

Tr_{ij} denotes the independent variables corresponding to the mean indicators of trust for the j -th age group in country i ;

β_j are the regression coefficients characterizing the sensitivity of the savings level to changes in trust within the respective age group;

ε_i is the stochastic error term (residuals) for country i .

The corresponding model for the household investment rate (I_i) is defined similarly (Wooldridge, 2016):

$$I_i = \beta_0 + \sum_{j=1}^6 \beta_j Tr_{ij} + \varepsilon_i \quad (2)$$

3.3.2 Extended models

The subsequent step involves incorporating blocks of control variables to isolate the effect of trust from macroeconomic influences and the level of financial sector development, thereby enhancing the explanatory power of the models. The extended models are specified as (Wooldridge, 2016):

$$S_i = \beta_0 + \sum_{j=1}^6 \beta_j Tr_{ij} + \sum_{n=1}^k \gamma_n x_{in} + \varepsilon_i \quad (3)$$

Where:

S_i is the dependent variable representing the level of savings as a percentage of GDP for country i ;

β_0 is the constant term, representing the baseline level of savings when independent variables are equal to zero;

Tr_{ij} denotes the independent variables corresponding to the mean indicators of trust for the j -th age group in country i ;

β_j are the regression coefficients characterizing the sensitivity of the savings level to changes in trust within the respective age group;

γ_n are the coefficients for the control variables, reflecting the impact of each factor on the dependent variable;

x_{in} is the vector of control variables for country i , where n is the index of the control variable;

ε_i is the stochastic error term (residuals) for country i .

The corresponding model for the household investment rate (I_i) is defined similarly (Wooldridge, 2016):

$$I_i = \beta_0 + \sum_{j=1}^6 \beta_j Tr_{ij} + \sum_{n=1}^k \gamma_n x_{in} + \varepsilon_i \quad (4)$$

3.3.3 Model optimisation and diagnostics

The subsequent stage involves the iterative elimination of statistically insignificant variables to arrive at an optimal model specification. The resulting model will be subjected to diagnostic testing, specifically checking for model specification, heteroskedasticity, and the normality of residuals. Based on the outcomes of these tests, the model specification may be further refined if necessary.

The concluding phase of the analysis entails testing the null hypotheses for each model, followed by an economic interpretation of the empirical findings.

3.4 Use of Artificial Intelligence Tools

Artificial intelligence technologies were used as supporting tools during the preparation of this thesis. Their application was deliberate and purposeful. All arguments, conclusions, and analytical frameworks presented in this thesis are the result of the author's independent intellectual effort. Artificial intelligence models, such as Gemini and NotebookLM, were used for stylistic editing and to verify the accuracy of bibliographic citations. Perplexity AI was utilized to assist in the search for academic sources. All results generated with the assistance of AI were subjected to critical evaluation and manual correction by the author to ensure full compliance with the objectives and academic standards of this work.

4 Results

This chapter is devoted to the presentation and interpretation of the results of an empirical study of the relationship between levels of trust and levels of formal savings and investment. This section provides a systematic evaluation of the econometric models constructed, including an analysis of the statistical significance of the explanatory variables and a test of their robustness. To verify the validity of the selected specifications, the results of a series of diagnostic tests (RESET, tests of heteroscedasticity and normality of the residuals) are presented, confirming the adequacy of the models and the absence of violations of the fundamental assumptions of the least squares method. The data obtained serve as an empirical basis for the subsequent economic interpretation and verification of the hypotheses formulated in the work.

4.1 The analysis of savings

To test the hypothesis regarding the influence of the level of trust on the level of formal savings, a regression model was constructed using the ordinary least squares (OLS) method. The results of the estimation are presented in the model below.

During the initial stage of model development, non-linearity in the functional form was identified, as detected by the rejection of the null hypothesis in the Ramsey test. To correct this distortion, a logarithmic transformation of the dependent variable was applied, which allowed the residuals to be normalised and ensured homoscedasticity, as confirmed by the White and Breusch-Pagan tests.

The inclusion of a number of control variables led to a problem of multicollinearity, which resulted in key explanatory variables losing their statistical significance. As a corrective measure, it was decided to use more aggregated indicators, which made it possible to maintain the interpretability of the model whilst meeting the statistical criteria.

The trust variables, initially divided into six age groups, were aggregated into four groups. The first group included respondents aged 16–24 inclusive, the second group those aged 25–44, the third those aged 45–64, and the final group comprised respondents aged 65 and over.

During the construction of the model, a strong correlation was identified between trust indicators in adjacent age groups. In particular, the variable `Tr_3` showed statistical significance in the preliminary stages of the analysis, but was excluded from the final model specification to ensure the robustness of the estimates. Following the methodological framework for addressing multicollinearity outlined by Wooldridge (2016), this decision was made to avoid artificially inflated variances of the estimators, which often occur when highly correlated independent variables are included simultaneously. The variable `Tr_2`, which remained in the model, acts as a proxy variable that captures the effect of trust for adjacent age groups, thereby avoiding the distortion of results caused by multicollinearity.

Model 1: OLS, using observations 1–23 ($n = 20$)

Missing or incomplete observations dropped: 3

Dependent variable: l_Savings

	Coefficient	Std. Error	<i>t</i> -ratio	p-value
const	−3.15807	1.61117	−1.960	0.0718
Tr_2	−1.45258	0.368953	−3.937	0.0017
Tr_4	0.991287	0.276682	3.583	0.0033
Economic_growth	0.102227	0.0390780	2.616	0.0213
LnPPP	0.665971	0.167289	3.981	0.0016
QL	−0.233946	0.0722873	−3.236	0.0065
QF	0.208622	0.0850895	2.452	0.0291
Mean dependent var	3.143080	S.D. dependent var		0.354692
Sum squared resid	0.769517	S.E. of regression		0.243297
R^2	0.678070	Adjusted R^2		0.529487
$F(6, 13)$	4.563576	P-value(F)		0.010494
Log-likelihood	4.198479	Akaike criterion		5.603041
Schwarz criterion	12.57317	Hannan–Quinn		6.963683

White's test for heteroskedasticity –

Null hypothesis: heteroskedasticity not present

Test statistic: LM = 13.0967

with p-value = $P(\chi^2(12) > 13.0967) = 0.362055$

Breusch-Pagan test for heteroskedasticity –

Null hypothesis: heteroskedasticity not present

Test statistic: LM = 4.84543

with p-value = $P(\chi^2(6) > 4.84543) = 0.563786$

Test for normality of residual –

Null hypothesis: error is normally distributed

Test statistic: $\chi^2(2) = 0.227645$

with p-value = 0.892416

RESET test for specification (squares and cubes) –

Null hypothesis: specification is adequate

Test statistic: F = 3.573675,

with p-value = $P(F(2, 11) > 3.57367) = 0.0637$

RESET test for specification (squares only) –

Null hypothesis: specification is adequate

Test statistic: F = 0.559684,

with p-value = $P(F(1, 12) > 0.559684) = 0.469$

RESET test for specification (cubes only) –

Null hypothesis: specification is adequate

Test statistic: $F = 0.629325$,
 with $p\text{-value} = P(F(1, 12) > 0.629325) = 0.443$

Source: Author's calculations using Gretl software, based on data from The World Bank (via theglobeconomy.com), the World Values Survey, and the Fraser Institute.

The trust indicators for age groups 2 (respondents aged 25 to 44) and 4 (respondents aged 64 and over) showed a high level of statistical significance ($p < 0.01$).

An analysis of the model's coefficients revealed that trust in financial institutions has a mixed effect depending on the age cohort. The variable Tr_2 (respondents aged 25-44) is characterised by a negative coefficient, which, given the reverse measurement scale, indicates a direct relationship between trust and savings. At the same time, variable Tr_4 (respondents aged 65 and over) has a positive coefficient, indicating an inverse relationship: an increase in trust for this group is associated with a reduction in formal savings. The statistical significance of both coefficients ($p < 0.01$) confirms that the level of trust has a statistically significant effect on the level of formal savings.

The rate of economic growth has a positive impact on the volume of savings ($\beta = 0.102$, $p < 0.05$). A 1 percentage point increase in economic growth is associated with an increase in the volume of formal household savings of 10.7%. This confirms the classic income effect: a favourable macroeconomic environment expands opportunities for saving.

The purchasing power parity index has a statistically significant positive effect on the level of savings ($\beta = 0.666$, $p < 0.01$). This is consistent with welfare theory, which states that an increase in disposable income enables individuals to increase both their consumption and the absolute level of their savings.

The negative coefficient of the statistically significant variable representing the level of development of legal institutions indicates a consistent inverse relationship. The improvement in the quality of property rights protection is statistically associated with a decrease in the volume of formal savings. This indicates a diversification effect: as the rule of law and the protection of property rights strengthen, households reduce their holdings of passive bank deposits, redirecting capital into more profitable investment instruments.

The variable QF, which reflects the efficiency and level of development of the financial infrastructure, has a positive and statistically significant effect on the volume of formal household savings. The positive sign of the coefficient indicates that an improvement in the quality of the financial sector's functioning is directly correlated with an increase in savings activity. The economic interpretation of this result is that a developed financial infrastructure significantly reduces the transaction costs of accessing financial services, making the savings process more transparent and convenient. The availability of reliable and effective financial instruments offered by modern institutions creates the necessary conditions for the transformation of sav-

ings from informal forms into formal bank deposits and investment accounts.

In addition to the baseline model, an extended analysis was conducted incorporating a number of alternative institutional and macroeconomic indicators. In particular, variables such as financial market depth, the level of bank/domestic credit to the private sector, stock market capitalisation, as well as the Investment Freedom Index and macroeconomic parameters (Inflation, Terms of trade) did not demonstrate statistical significance within this specification. The lack of significance of these variables is likely due to the fact that they show a high correlation with the model's main institutional variables (QL and QF), which more accurately capture the specifics of the legal and financial environment. Thus, the inclusion of these indicators does not improve the quality of the model, which confirms the robustness of the selected set of determinants of saving behaviour.

Similar results were obtained for institutional trust in the Tr_1 age group. The lack of statistical significance for this group indicates heterogeneity in saving behaviour: unlike the 25–44 and 65+ age groups, for whom trust is a critically important factor, institutional trust does not act as a significant predictor of saving activity for this age group.

The additional covariates were found to be statistically insignificant and were therefore omitted from the final estimation.

4.2 The analysis of investment

The impact of institutional trust on the level of household investment was also analysed using ordinary least squares (OLS) analysis. The summary results of the model estimation are presented in the model below.

Given the limited availability of data on investment indicators, the model presented here is exploratory in nature. The analysis is based on a small sample ($N=7$), which places certain limitations on the generalized applicability of the results.

Nevertheless, this model serves as a pilot study, enabling an assessment of the existence and direction of the relationship between the level of trust and investment activity.

The results of this section should not be considered as conclusive proof, but rather as further evidence in support of the hypothesis under consideration, requiring further verification using larger datasets.

Due to the limited sample size and restricted degrees of freedom, the trust-related control variables were aggregated into a composite index representing the mean level of confidence in financial institutions. This approach helps maintain model parsimony and ensures the robustness of the estimates.

The initial linear specification of the investment model showed signs of an insufficient functional form (according to the RESET test). Following a logarithmic transformation of the dependent variable, all diagnostic tests (RESET, White, Breusch-Pagan) were successfully passed. This confirms that the logarithmic form

is more appropriate for analysing the investment data and ensures the robustness of the estimates obtained.

Model 2: OLS, using observations 1–9 ($n = 7$)				
Missing or incomplete observations dropped: 2				
Dependent variable: l_Investment				
	Coefficient	Std. Error	<i>t</i> -ratio	p-value
const	4.06143	0.746245	5.442	0.0055
Tr_avg	−0.979394	0.297733	−3.290	0.0302
QL	0.260304	0.0636965	4.087	0.0150
Mean dependent var	3.177273	S.D. dependent var		0.503064
Sum squared resid	0.242992	S.E. of regression		0.246471
R^2	0.839973	Adjusted R^2		0.759959
$F(2, 4)$	10.49788	P-value(F)		0.025609
Log-likelihood	1.829656	Akaike criterion		2.340687
Schwarz criterion	2.178418	Hannan–Quinn		0.335066

White's test for heteroskedasticity –

Null hypothesis: heteroskedasticity not present

Test statistic: LM = 5.38624

with p-value = $P(\chi^2(5) > 5.38624) = 0.370582$

Breusch-Pagan test for heteroskedasticity –

Null hypothesis: heteroskedasticity not present

Test statistic: LM = 0.624037

with p-value = $P(\chi^2(2) > 0.624037) = 0.731968$

RESET test for specification (squares and cubes) –

Null hypothesis: specification is adequate

Test statistic: F = 4.463382,

with p-value = $P(F(2, 2) > 4.463382) = 0.183$

RESET test for specification (squares only) –

Null hypothesis: specification is adequate

Test statistic: F = 9.135913,

with p-value = $P(F(1, 3) > 9.135913) = 0.0566$

RESET test for specification (cubes only) –

Null hypothesis: specification is adequate

Test statistic: F = 8.636311,

with p-value = $P(F(1, 12) > 8.636311) = 0.0606$

Source: Author's calculations using Gretl software, based on data from The World Bank, the OECD database, the World Values Survey, and the Fraser Institute.

The indicator of trust in financial institutions demonstrated a high level of statistical significance. As the trust index is measured on a reverse scale (where an increase in the value indicates a decline in trust), the negative sign of the coefficient is interpreted as indicating a positive correlation: an increase in trust in financial institutions statistically significantly stimulates growth in investment volumes.

The indicator of the quality of legal institutions also showed a high level of statistical significance. Identified positive correlation confirms the importance of institutional development for shaping the investment climate. A high level of institutional maturity minimises risks for economic agents, as the predictability of the legal framework stimulates investment activity.

The remaining variables, which were not included in the final model specification, did not show statistical significance.

5 Discussion

This chapter is devoted to discussing the results obtained during the empirical study in the context of the research objective, that was to investigate the influence of the level of trust in financial institutions on the decisions made by households regarding the allocation of their capital. The empirical findings are subsequently related to the theoretical propositions outlined in the earlier sections.

5.1 The role of trust in household decision-making

The main objective of this study was to examine the impact of trust in financial institutions on households' capital allocation decision-making. To achieve this objective, research was conducted in two areas: the formation of formal savings and participation in stock markets, using household investment levels as a proxy variable.

The initial null hypothesising that trust has no statistically significant effect on household financial behaviour was rejected. The results of the econometric modelling confirmed that the trust factor is statistically significant and has a substantial influence on financial decision-making in all the groups studied, with the exception of the youngest (aged 16–24).

In terms of formal savings, the statistical significance of the trust variable was confirmed for three age groups: 25–44 years (TR_2), 45–64 years (TR_3) and 65+ years (TR_4). However, the nature of the effect proved to be heterogeneous: for respondents aged 25–64, a positive correlation was found between the level of trust and the amount of savings. Conversely, for the 65+ cohort, this relationship is negative.

These findings are consistent with the theoretical framework proposed by Guiso, Sapienza, and Zingales (2008), according to which a high level of institutional trust promotes an increase in formal savings by reducing the psychological barriers to delegating capital management to financial intermediaries.

The observed pattern is also consistent with the life-cycle hypothesis, as evidenced by the hump-shaped relationship between savings and age, which is analogous to the findings of Calvet and Sodini (2009) and Xu and Yi (2024) in their research.

For the 16–24 age group, the trust factor proved to be insignificant. This is explained by the fact that respondents are at the stage of acquiring an education and do not have a stable income, which makes saving impractical or impossible.

For respondents in the second and third age groups (i.e. those aged between 25 and 64), trust acts as a positive driver of savings. During this period, households actively accumulate assets to ensure security and achieve long-term goals. Moreover, this stage of the life cycle is often associated with starting a family and having children. In this context, formal savings act as a form of self-insurance, preferred over high-risk assets.

Another pattern is observed among the older age group (65 and older): an increase in trust levels correlates with a decrease in savings. This should not be interpreted as a rejection of financial institutions; instead, it reflects a rational phase of resource de-accumulation. High institutional trust allows members of the older generation to confidently use their accumulated capital to maintain their current level of consumption, without feeling the need for excessive self-insurance through excessive savings.

Thus, the hypothesis that the level of trust has no effect on savings formation was rejected for the 25–64 age group (positive effect) and the 65 and over age group (negative effect). For the 16–24 age group, the effect of trust is not statistically significant, which is consistent with theoretical expectations

An aggregate confidence index, reflecting the average level of institutional confidence across the country, was used to model investment activity. The results confirm the existence of a statistically significant positive relationship between the level of confidence and investment activity.

This pattern stems from the nature of participation in stock markets, which requires the delegation of control over assets to third parties. According to Guiso, Sapienza, and Zingales (2008), this delegation is a sort of ‘act of faith’. Individuals with low levels of trust in the financial system tend to avoid transferring control over their assets, whereas agents with high levels of trust not only accumulate formal savings but are also willing to hold risky assets and participate in the stock market (Guiso, Sapienza, and Zingales, 2008). This explains the observed positive relationship between trust in financial institutions and household investment activity.

Based on the obtained results, the null hypothesising that the level of trust has no effect on household investment activity was rejected. Thus, institutional trust is a necessary condition for households to shift from passive saving to taking on market risks.

5.2 Analysis of the impact of macroeconomic and institutional factors

The effectiveness of financial decision-making by households is determined by a complex intertwining of institutional drivers and macroeconomic conditions. In this section, after assessing the isolated impact of confidence, we move on to discussing the system of factors that shape the investment climate. By synthesising institutional and macroeconomic variables, we can not only identify correlations but also explain how the external environment either constrains or, conversely, expands households’ opportunities in the allocation of capital.

The quality of legal institutions is a fundamental determinant of households’ financial behaviour, shaping the institutional framework within which agents make long-term decisions regarding the allocation of capital. A high level of protection of property rights and the predictability of the regulatory environment create con-

ditions for a significant reduction in the subjective perception of investment risks, which directly influences the longer planning horizon of economic agents. In an environment of weak legal regulation, households are forced to resort to defensive strategies, favouring liquid but low-yielding assets, as the risk of non-performance of contractual obligations makes long-term financial investments unreasonably risky. Conversely, well-developed legal institutions minimise the transaction costs associated with property protection, thereby encouraging households to delegate capital management to professional financial intermediaries and to participate actively in the stock market. This explains the presence of a strong, statistically significant, divergent influence of the level of development of legal institutions on both the formation of formal savings and the level of household investment. Well-developed legal institutions create a favourable institutional climate, which encourages people to opt for higher-risk assets. Therefore, higher values of the legal institutions development index are associated with increased participation in stock markets and a reduction in the volume of formal savings, which is consistent with the results obtained.

Thus, the quality of the legal environment acts as a necessary catalyst for transforming ‘defensive’ savings into productive investments: the more reliable the legal protection, the greater the willingness of economic agents to take on market risks, enabling them to diversify their portfolios and shift from conservative accumulation strategies to actively investing.

The level of development of financial institutions is a critical factor in determining households’ willingness to integrate into the formal financial sector. A stable monetary policy, characterised by controlled growth in the money supply and low inflation volatility, minimises the risks of asset depreciation, which fundamentally alters the structure of economic agents’ investment decisions. In the context of high-quality monetary institutions, inflationary pressure on savings is reduced, making long-term financial instruments more attractive compared to informal assets. A well-developed financial sector also lowers the barriers to market entry for private individuals. In economies with a high level of financial intermediation, institutional trust translates into concrete investment actions more quickly and with lower transaction costs. Without the appropriate infrastructure, even with a high level of trust, households are limited to primitive forms of saving, which negates the positive effect of the institutional environment.

These statements are also supported by the obtained results, which show a statistically significant positive correlation between the level of development of financial institutions and the level of formal savings.

Thus, the sophistication of the financial system is a necessary condition that determines whether market participants are willing to entrust their funds to market mechanisms rather than hold them in less efficient but intuitively more comprehensible forms.

In addition to institutional determinants, the model incorporates macroeconomic control variables such as real GDP growth and GDP at purchasing power

parity. Their role in the analysis is dual: on the one hand, they capture the fundamental household budget constraint, where GDP growth provides the resource base for savings. On the other hand, GDP at purchasing power parity serves as a tool for standardising welfare, allowing for the elimination of distortions associated with differences in price levels between countries.

Within the framework of regression analysis, these variables serve as fundamental control variables, enabling us to distinguish between the influence of the institutional environment and the country's overall level of economic development. Real GDP growth in this model serves as an indicator of the dynamics of the aggregate scale of the economy and the capacity of the domestic market, determining the total pool of resources available for distribution within the country. In turn, GDP per capita at purchasing power parity (PPP) acts as a more accurate measure of the real well-being of economic agents, levelling out cross-country differences in price levels and exchange rates. Growth in both of these variables is associated with an increase in the volume of savings, as a result of an increase in income.

Tracking these variables allows us to isolate the net institutional effect: we propose that the institutional impact occurs regardless of how wealthy the given jurisdiction is. This confirms that households' propensity to formalise savings and participate in investment strategies is determined not only by their current solvency, but also by the quality of legal and monetary institutions that create incentives for long-term planning.

A number of variables, such as the Investment Freedom Index, bank credit to the private sector, domestic credit to the private sector, the level of development of financial institutions and the level of development of financial markets, did not show statistical significance in the current model specification. The statistical insignificance of these variables in the presence of the financial sector quality index can be explained by their informational redundancy. Although these indicators are not components of the index, they are conceptually closely related to it, reflecting related aspects of the financial system's development.

It is worth noting that the index of the quality of political institutions is statistically insignificant. This may be interpreted as evidence that the institutional influence on household investment behaviour is hierarchical in nature. When direct institutional and economic determinants (such as the quality of legal and financial institutions and real GDP growth) are included in the model, general political characteristics become less significant.

The statistical insignificance of the inflation indicator within this model specification is explained by the fact that inflation trends are an integral component of the 'Sound Money' index, which serves as a measure of the quality of financial institutions. When these variables are included simultaneously in the regression, this creates a multicollinearity effect. In this configuration, the index acts as a more powerful and comprehensive predictor, capturing the impact of price stability.

5.3 Limitation of the study

Although the findings of this study are consistent with economic theory, the research has a number of limitations that must be taken into consideration when interpreting the conclusions.

One of the key limitations is the availability of statistical data. Due to the fragmentary nature of the data for a given period, some countries that were initially included in the sample had to be excluded from the analysis. The lack of harmonised data for a number of indicators, for example the household stock market participation index, necessitated the use of proxy indicators. It is recognised that the choice of indirect metrics imposes limitations on the interpretation of results, as any proxy indicator is an approximation of the phenomenon under study and may contain measurement error.

Nevertheless, the choice of these indicators is dictated by their widespread use in empirical research and their high degree of cross-country comparability. To ensure the robustness of the findings, the model was tested using alternative indicators, which confirmed the comparability of the estimates obtained.

The use of cross-sectional data also imposes a number of limitations. Firstly, the analysis is based on a static snapshot, which does not allow us to track the dynamic changes of variables and their impact on financial behaviour in the long term. The state of the system is captured at a specific point in time, which makes it impossible to assess time lag effects and the adaptation of economic agents to institutional transformations.

Secondly, the cross-sectional nature of the study limits our ability to account for unobserved country-specific factors. Household financial behaviour is influenced by factors that are extremely difficult to formalise, such as levels of financial literacy, cultural norms regarding saving, and trust in informal institutions. Although these variables were not included in the econometric specification, they are acknowledged as having a potential influence and are considered a prospective area for further qualitative research.

Thus, the coefficients obtained reflect the average relationships across the entire sample, but do not allow for definitive conclusions to be made about the causality in the context of each country's individual trajectory. This methodology is optimal for identifying structural patterns across a global sample, ensuring comparability between countries with different levels of economic development.

The results of the pilot case study presented in the second model should be interpreted with caution due to a number of methodological limitations.

Firstly, the analysis is based on an extremely small sample size ($N=7$), which objectively reduces the statistical power of the model and limits the ability to generalise the findings to larger sample sizes.

Secondly, the lack of degrees of freedom necessitated the aggregation of confidence indicators into a composite index. Although this approach allowed the model to remain concise and ensured its robustness according to diagnostic tests, it in-

evitably leads to a loss of detail regarding specific aspects of confidence in financial institutions.

Thus, the results of this module do not claim to be comprehensive empirical evidence, but are of an exploratory nature, serving as a preliminary verification of theoretical assumptions. This analysis provides valuable evidence of statistically significant correlations; however, further research using expanded datasets is required for their full extrapolation.

In addition, the study used a specific methodology in constructing the dependent variable: the ratio of gross fixed capital formation (in current US dollars) to disposable income (in US dollars at PPP). Due to the lack of comparable PPP deflators for both indicators, it was decided to use the available data. It is recognised that the use of different conversion bases introduces a systematic error arising from the difference between purchasing power parity and the market exchange rate. This imposes limitations on the absolute accuracy of cross-country comparisons; however, this assumption does not affect the qualitative interpretation of the identified patterns. The resulting ratio is considered a relative metric reflecting structural proportions within the economies.

6 Conclusion

The aim of this bachelor's thesis was to examine the impact of the level of institutional trust, specifically trust in financial institutions, on households' capital allocation structure.

This study was based on a systematic methodological approach combining theoretical analysis and empirical testing. In the first stage, the theoretical framework of the study was established, within which existing definitions were specified and concepts regarding the influence of trust on household decision-making concerning their capital were examined.

The subsequent systematisation of factors enabled the formulation of research hypotheses, for the testing of which a dataset was prepared and a calculation methodology was developed.

The econometric modelling was carried out using the ordinary least squares (OLS) method in the Gretl software. The final interpretation of the results was based on a combination of statistical significance and the principles of economic theory.

The concluding section of the study identified methodological limitations and outlined prospects for future research.

The obtained results allow us to draw a number of theoretically significant conclusions.

The key finding of the study is empirical confirmation of the importance of institutional trust as a driver of formal savings and household participation in stock markets. It was established that trust in financial institutions is a necessary condition that enables households to delegate their asset management to professional intermediaries and to move from passive saving to taking on market risks.

The observed heterogeneity in the effects of trust across age cohorts, reflected in the positive impact of increased levels of trust in financial institutions on the formation of formal savings among respondents aged 25–64 and the negative impact (asset de-accumulation) among those aged 65 and over, is consistent with life-cycle theory. The obtained results supplement this theory with new empirical evidence, demonstrating that the role of institutional trust varies depending on the stage of capital accumulation.

The study also demonstrates the importance of the development of the institutional environment as a factor in financial decision-making.

It has been established that, in an environment of weak legal regulation, households are forced to resort to defensive strategies, opting for low-yield liquid assets. Thus, the development of the legal environment is a necessary condition for the transition from conservative saving to productive investment. In the absence of a developed financial infrastructure, even a high level of trust does not convert into investment activity, which confirms the thesis regarding the critical importance of a comprehensive approach to institutional development.

The study places particular emphasis on the analysis of macroeconomic vari-

ables. It has been shown that growth in real GDP and the level of prosperity (GDP per capita at purchasing power parity) provide the resource base, but it is the quality of the financial sector that determines how these resources are distributed.

Despite the identified limitations, such as the fragmentary nature of the data, the use of proxy indicators, and the cross-sectional nature of the analysis, which prevents the assessment of long-term time lags, the study makes a contribution to understanding of the mechanisms of capital allocation. It is acknowledged that a number of factors, such as financial literacy and cultural norms, were not formalised in the quantitative model; however, their absence from the specification does not diminish the significance of the structural patterns identified. In further research, it would be beneficial to expand the sample and move to a panel analysis, which would allow for a more accurate assessment of causality and the dynamics of agents' adaptation to institutional changes.

In conclusion, it can be stated that institutional development is not merely a macroeconomic objective, but also a direct instrument of influence on the financial behaviour of the population. The creation of a transparent, predictable and reliable institutional environment is a key prerequisite for the development of a mature private investment market capable of ensuring the economy's sustainable development in the long term.

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